

Price-to-Free Cash Flow (P/FCF)

P/FCF Increases:

- **Driven by Price rising:** Market sentiment or growth expectations are rising faster than cash generation. Stock may be getting expensive; monitor whether FCF catches up.
- **Driven by FCF declining:** Business is generating less free cash flow. Multiple expansion is artificial; a red flag unless FCF decline is temporary (e.g., heavy capex cycle).

P/FCF Decreases:

- **Driven by Price falling:** Market is losing confidence. Could be a value opportunity if FCF is healthy, or a warning sign if price is leading fundamental deterioration.
- **Driven by FCF increasing:** The strongest constructive signal. Business is generating more cash than the market credits.

Compare to Industry Average within the Same Market Cap Group:

P/FCF rises or falls in tandem with peers: Sector-wide re-rating is the dominant driver. Company-specific signal is weak; macro or industry forces are moving all multiples together.

P/FCF rises or falls faster than peers: The company is being re-rated relative to its industry.

- Rising faster: market assigning a growing premium; justified if FCF growth is also outpacing peers, speculative if not.
- Falling faster: market losing relative confidence; check whether FCF is also underperforming peers or if it's purely sentiment.

P/FCF moves in the opposite direction from peers: The strongest idiosyncratic signal.

- Rising while peers fall: company-specific optimism or a genuine FCF deterioration that peers aren't experiencing.
- Falling while peers rise: either a unique value opportunity or an isolated fundamental problem. Always decompose whether price or FCF is driving the divergence.

Price-to-Book Value (P/B)

P/B Increase:

- **Driven by Price:** Market is pricing in higher expected returns on equity or future asset growth. May signal growth expectations, but watch whether book value growth eventually justifies the premium.
- **Driven by Book Value declining:** Equity base is shrinking due to losses, writedowns, or buybacks. A red flag unless book value reduction is intentional (e.g., aggressive buybacks in a profitable company).

P/B Decrease:

- **Driven by Price falling:** Market confidence in asset value or earning power is weakening. Potential value opportunity if book value is intact and ROE is healthy; a warning if the market sees trouble ahead.
- **Driven by Book Value increasing:** Company is accumulating equity through retained earnings faster than price appreciates. Good signal if ROE remains strong; the market may doubt whether those extra assets will actually generate good returns.

Compare to Industry Average within the Same Market Cap Group:

P/B rises or falls in tandem with peers: Not a useful company-specific signal. The cause is likely a broad market or sector shift, likely tied to interest rate shifts, regulatory changes, or macro conditions affecting the whole industry's asset base.

P/B rises or falls faster than peers: Company is being re-rated relative to its industry.

- Rising faster: investors favor it more than peers; justified if ROE is also outpacing peers, speculative if not.
- Falling faster: market discounting its asset quality or profitability relative to peers; check whether ROE is also underperforming or if it is sentiment-driven.

P/B moves in the opposite direction from peers: Strongest idiosyncratic signal.

- Rising while peers fall: company-specific confidence in asset quality or a unique ROE advantage peers lack.
- Falling while peers rise: either a mispriced value opportunity or an isolated concern such as asset impairment, deteriorating ROE, or balance sheet risk. Always check whether price or the asset base is causing the split.

Asset-to-Equity (A/E)

A/E Increase:

- **Driven by Assets growing:** The company is taking on more resources, likely funded by debt. Could mean expansion, but the company is becoming more leveraged. Check if the new assets are generating returns.
- **Driven by Equity shrinking:** The equity base is eroding from losses, buybacks, or dividends. The company is not necessarily growing — it just has less of a cushion. Generally a warning sign.

A/E Decrease:

- **Driven by Assets shrinking:** The company is downsizing or paying down assets. Could be disciplined deleveraging or a sign the business is contracting. Context matters.
- **Driven by Equity growing:** The company is building its own financial cushion through retained earnings. Less reliant on debt. Generally a healthy sign.

Compare to Industry Average within the Same Market Cap Group:

A/E rises or falls in tandem with peers: The whole industry is taking on or reducing leverage together. Likely driven by broader credit conditions or industry-wide trends.

A/E rises or falls faster than peers: The company is becoming more or less leveraged than its peers.

- Rising faster: taking on significantly more debt than peers; fine if returns justify it, risky if not.
- Falling faster: deleveraging quicker than peers; could mean stronger earnings or a more conservative strategy.

A/E moves in the opposite direction from peers: The strongest company-specific signal.

- Rising while peers fall: this company is borrowing more while peers are pulling back.

- Falling while peers rise: the company is in a stronger financial position or is more conservative. Always check whether assets or equity is driving the move before concluding.

Price-to-Earnings (P/E)

P/E Increase:

- **Driven by Price:** Investors are willing to pay more per dollar of earnings. Could mean the company is expected to grow. Check if actual earnings growth eventually follows.
- **Driven by Earnings declining** — The ratio looks high not because investors are excited, but because profits dropped. A red flag unless the earnings dip is temporary.

P/E Decrease:

- **Driven by Price falling:** Investors are paying less per dollar of earnings. Could be a buying opportunity if earnings are solid, or a warning if the market sees trouble coming.
- **Driven by Earnings growing:** Profits are rising faster than the stock price. The stock is getting cheaper relative to what the company actually earns. Generally a good sign.

Compare to Industry Average within the Same Market Cap Group:

P/E rises or falls in tandem with peers: The whole sector is being re-rated together. Likely driven by interest rates, macro conditions, or sector sentiment.

P/E rises or falls faster than peers:

- Rising faster: investors expect it to grow more than peers; check if earnings actually support that.
- Falling faster: investors are losing confidence in it relative to peers; check if earnings are also underperforming.

P/E moves in the opposite direction from peers:

- Rising while peers fall: something unique is working in its favor, or its earnings dropped while peers held up.
- Falling while peers rise: either a value opportunity or an isolated problem. Always check whether price or earnings is driving the split before concluding.

Return on Equity (ROE)

ROE Increase: The company is generating more profit from shareholders' equity. Best case is when margins or efficiency are driving it. Watch out if it's purely from taking on more debt.

ROE Decrease: The company is generating less profit from shareholders' equity. Most concerning when margins are shrinking. Less worrying if it's simply from paying down debt.

Compare to Industry Average within the Same Market Cap Group:

ROE moves in tandem with peers: The whole industry is improving or deteriorating together.

ROE rises or falls faster than peers:

- Rising faster: gaining a competitive edge
- Falling faster: losing ground to peers

ROE moves in the opposite direction from peers:

- Rising while peers fall: the company has a unique advantage in margins, efficiency, or a deliberate leverage strategy.
- Falling while peers rise: an isolated problem worth investigating.

Return on Assets (ROA)

ROA Increase: The company is getting more profit out of its assets. Good sign for operational efficiency.

ROA Decrease: The company is getting less profit out of its assets. Could mean costs are rising, revenue is falling, or the asset base is growing faster than profits can keep up.

Compare to Industry Average within the Same Market Cap Group:

ROA rises or falls in tandem with peers: Likely driven by macro or sector-wide conditions.

ROA rises or falls faster than peers:

- Rising faster: getting more out of its assets than peers; a sign of operational edge.
- Falling faster: assets are becoming less productive relative to peers; worth investigating whether it is a cost problem or a revenue problem.

ROA moves in the opposite direction from peers:

- Rising while peers fall: the company is managing its assets more effectively than the rest of the industry.
- Falling while peers rise: an isolated efficiency or profitability problem. Always check whether income or assets is driving the move before concluding.